

October/November 2023 12

1-D:

Economic goods are those with a price, limited in supply, and require resources for production, such as a smartphone and have an opportunity cost to produce

Free goods have no price tag, unlimited in supply, and do not require resources for production, such as air and have no opportunity cost.

From the given statements, the economic goods are scarce, they have an opportunity cost to produce. Free goods are not scarce as they are unlimited in supply and have no opportunity cost to produce. Therefore only the D statement is correct.

2-A:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

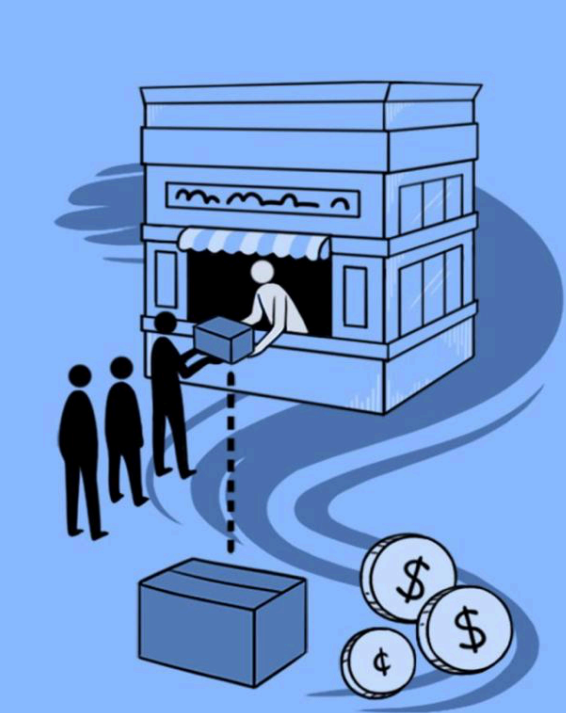
As resources are becoming more scarce, it shifts the PPC inwards. In addition, an increase in population size would also increase the unlimited wants but there are limited resources that also be used up. Hence scarcity will increase more.

3-C:

Capital is one of the four factors of production, alongside land, labor, and entrepreneurship. It refers to the man-made goods used in the production of other goods and services.

From the above definition, we find our correct answer that is option C

4-C:



Market Economy
['mär-kæt i-'kä-nə-mē]

An economic system in which economic decisions and the pricing of goods and services are guided by the interactions of a country's individual citizens and businesses.

The illustration depicts a stylized market scene. On the left, a two-story building with a striped awning serves as a shop. A person is visible inside the shop, handing a box to a customer. Two other figures stand nearby. In the foreground, a large cardboard box sits on the ground, and several coins (one with a dollar sign, one with a cent sign) are scattered next to it. A dashed line connects the box in the foreground to the box being handed over at the shop, suggesting a transaction. The entire scene is set against a light blue background.

In a market economy, there is private ownership of the factors of production but no public ownership factors of production with no or little government involvement. Therefore it makes option C correct.

5-D:

A substitute good is a product or service that can replace another product or service with little to no perceivable difference to the consumer. It has a positive relationship between price and quantity demanded of other goods.

If the price of public transport increases, the consumers will contract the quantity demanded of public transport, causing a movement along the curve. While the demand for transport goods will increase.

A- demand for cars will contract when there is an increase the price of cars

B- demand for cars will extend when there is a fall in the price of cars.

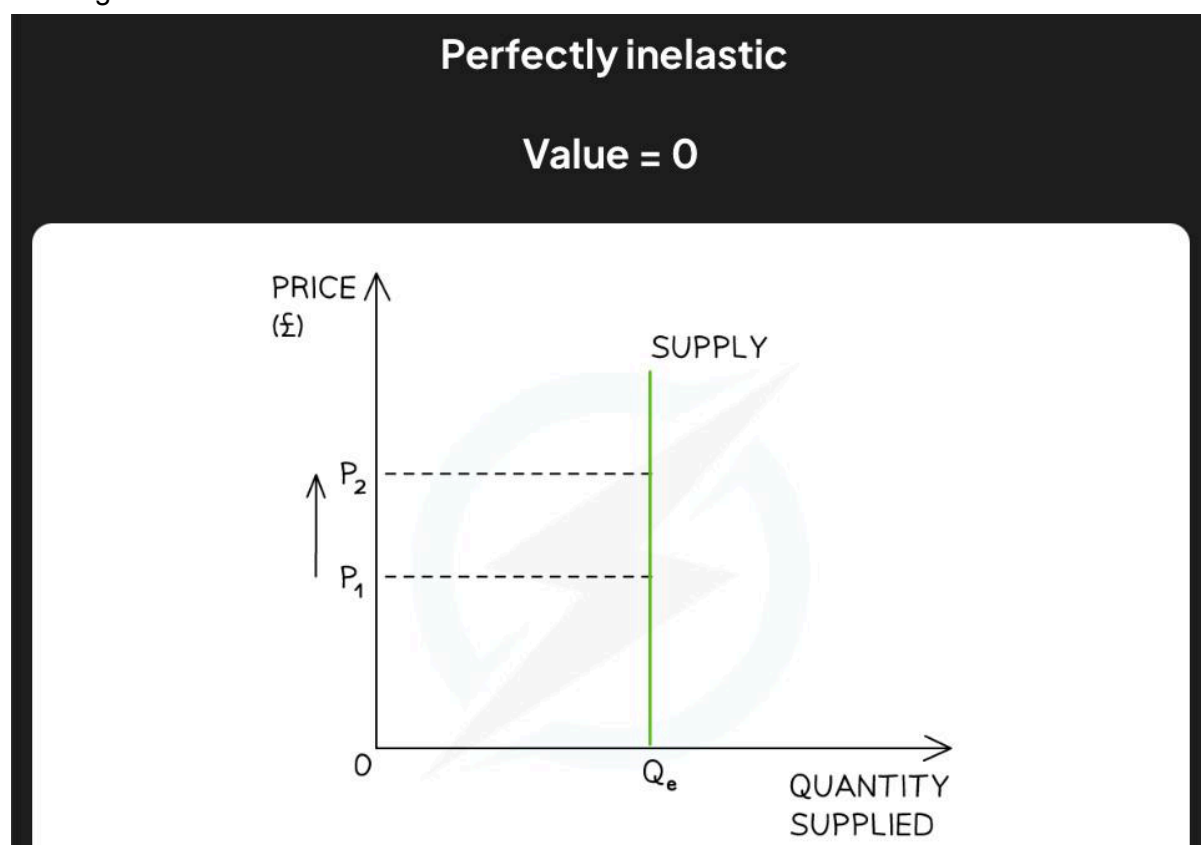
C- demand for cars will decrease when there is fall in price of public transport

D- yes consumers switched to cars due increase in price of public transport

6-A:

PES is calculated as the percentage change in quantity supplied divided by the percentage change in price.

A- The QS is completely unresponsive to a change in P. E.g. Fixed number of seats in a theatre. No matter what, how much a price increase QS would be unchanged. As shown in the diagram below



B- The $\% \Delta$ in QS is less than proportional to the $\% \Delta$ in P E.g Agricultural products

C- Any supply curve that starts at the origin E.g. S1, S2 or S3 have a PES value equal to 1. The $\% \Delta$ in P = $\% \Delta$ in QS

D- The $\% \Delta$ in QS is more than proportional to the $\% \Delta$ in P

E.g T-shirts

7-D:

PED is calculated as the percentage change in quantity demanded divided by the percentage change in price.

Unitary demand is the percentage change in price that is the same as the percentage change in quantity demanded. If the price of a product decreases by 10%, the quantity demanded of that product will increase by 10%. In a unitary elastic demand scenario, a price change does not affect total revenue.

8-D:

A small change in price leads to a relatively large change in the quantity demanded known as elastic demand.

PED for hotels is elastic, greater than 1. If prices reduce by 5%, the quantity demanded will increase by greater proportion.

$$x/5\% = -1.7 = 8.5$$

9-D:

A- demand for tomatoes is increasing, the price will rise or fall depending on the supply of tomatoes rises or falls.

B- same as above

C- quantity traded will rise as demand increase of tomatoes

D- the demand is increasing, the quantity traded will also increase

10-A:



Free Market

['frē 'mär-kət]

An economic system based on supply and demand with little or no government control.

- A- yes, operational of price mechanism or demand or supply
- B- external benefit or external cost not considered under free market economy
- C- no government intervention
- D- public goods not provided by free market economy

11-A:

Cash is the only method of unrecorded transactions of customers. While others options mentioned could identify the customer's information.

12-A:

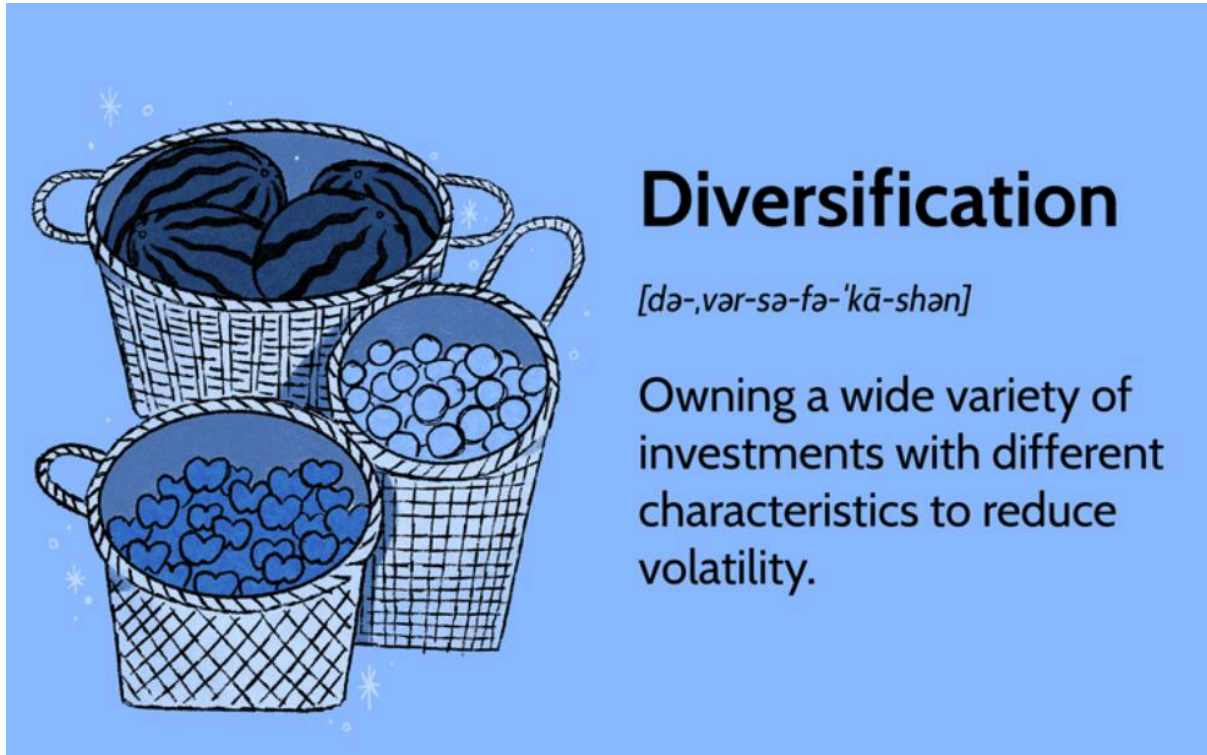
FUNCTION OF CENTRAL BANK



13-D:

All the three options: A,B and C create the differences for individuals in a firm,sector or as a gender.While option D inflation rates affects individuals real income separately.

14-A:



Airline company taking over an online business that is a type of diversification expansion. The simple advantage of this strategy is to spread the risk over a wide range of products. Thus makes option A the correct choice.

While other options such B and C are the advantages of increasing operations internally. Lastly, option D is an advantage of horizontal integration that is producing the same products at the level of stage. For eg, two berries producers merge.

15-C:

In the short run, the scale of production is fixed (there is at least one fixed cost). For firms, the quantity of labour might be flexible, whilst the quantity of capital is fixed. In the long run, the scale of production is flexible and can be changed. All costs are variable.

To earn the large profits, the number of firms in an industry must be few or one so that a single firm can earn the entire profit from the sale of the products without the fear of losing the market share.

While the barriers of entry also must be high so that no new firms can easily enter the markets and capture the share of a market. That will further result in loss of profits. Hence option C must be correct.

16-D:

The average total cost is defined as the total costs incurred to produce a product, divided by the total number of units produced.

Total cost of 5 units:

$$ATC = TC/Q$$

$$\$20 = x/5 = \$100$$

Now, 6 unit

$$Tc = 100 + 26 = 126$$

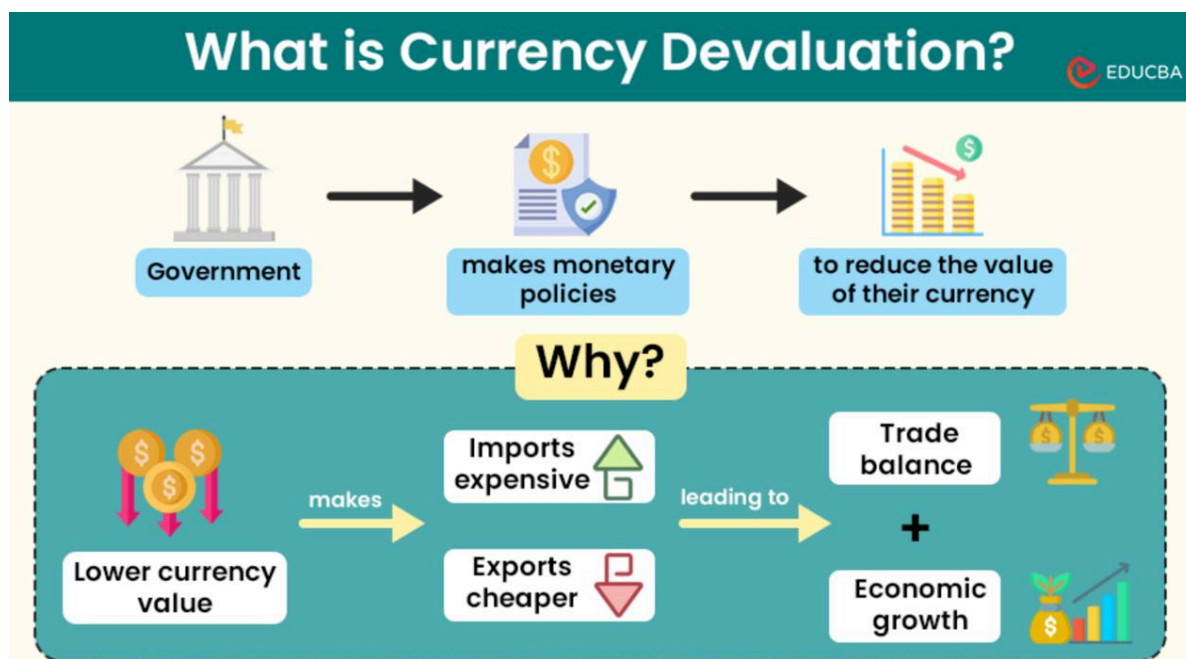
ATC of 6 unit

$$126/6 = 21$$

17-A:

Increasing the money supply is one of the tools of monetary policy and only macroeconomic measure that is mentioned. Other options B,C and D are the micro decisions.

18-C:



For example, if China devalues Yuan against the US dollar (from 6.5 Yuan per dollar to 7 Yuan per dollar), Chinese products will become cheaper for American consumers, boosting Chinese exports. Meanwhile, American products will become more expensive for Chinese consumers, reducing American imports.

A-yes it will increase the cost of production if the goods are imported, but it will also increase unemployment.

B- confidence will low

C- yes, export price will reduce, increase the export revenue and the BOT improves. This increases the AD and thus reduces unemployment.

D- demand for imports will fall as the imported goods become more expensive.

19-B:

A- rate of interest increases, the consumer saves more to enjoy higher returns on their savings. This will reduce the consumption expenditure.

B- yes, the cost of borrowing will increase the cost of production of firms so buy fewer machines

C- no, save more and fewer cash

D- higher returns and higher rewards

20-B:

A- this factor will increase AS the control the trade unions power

B- higher indirect taxation will reduce the AS

C- privatisation will increase the AS

D- training will also increase the AS

21-C:

GDP per head is a measure of the total economic output of a country per person. It is calculated by dividing the country's gross domestic product (GDP) by its total population.

A- can't be determined with the real GDP per head or from the table whether income is more distributed

B- the activities of the informal activity cannot be recorded.

C- yes, this can be concluded as the GDP per head increase that means income per head increases that results in improved standards of living.

D- if the rate of inflation increases, then the real GDP has fallen.

22-B:

Cyclical unemployment is a type of unemployment that is caused by fluctuations in the business cycle or economic cycle. It occurs when there is a downturn or contraction in the economy, which leads to a decrease in demand for goods and services.

A- increasing the direct tax will reduce the disposable income and thus reduce consumption. A fall in consumption will reduce the AD and an increase in unemployment.

B- budget deficits occur when government spending exceeds the tax revenues. A budget deficit will increase the government spending in an economy that will boost the AD and reduce the cyclical unemployment.

C- a budget surplus will reduce the AD

D- its is a tool of the monetary policy

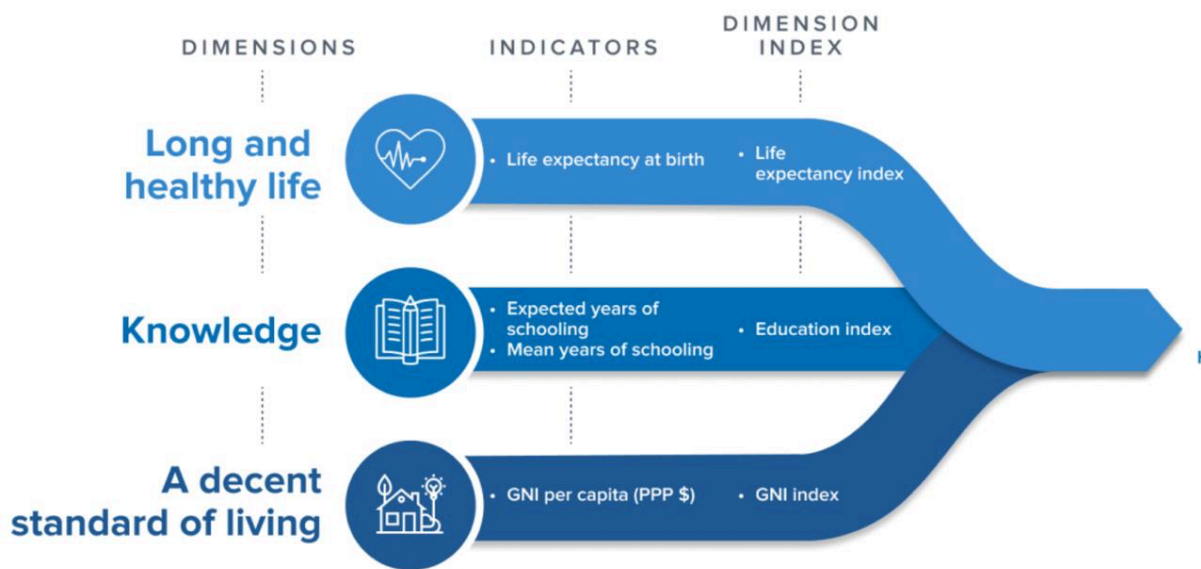
23-C:

A- this will result in inflation

- B- the rate of inflation has reached to 100%, this will result in price rose
 C- yes, the higher rates of inflation will erode the purchasing power of money and thus purchasing power has halved
 D- real value of money has reduced

24-A:

HDI Dimensions and Indicators



25-D:

An aging population is defined as a demographic structure characterized by a larger proportion of individuals aged 65 and over, typically resulting from declining fertility rates and increasing life expectancy.

- A- no, there will be rise in dependency ratio as more aged people will be dependent on their families and the government support
 B- no, there will be rise in immigration as more young people will be needed in the different sectors of an economy
 C- no, decrease in geographical mobility as more aged people
 D- yes, more spending on healthcare due to old population

26-B:

Subsistence farming is a type of agriculture where farmers grow food primarily to feed themselves and their families, with little or no surplus for sale or trade. It's characterized by small-scale farms, basic farming techniques, and a focus on meeting immediate needs rather than maximizing profit. Therefore subsistence farming can't be capital intensive as its manual labour work.

27-C:

A- it won't be improved, as oil will be less extracted then less exported and may not improve the current account balance of payments

B- income will be less generated as less exported so less government exports revenue

C- yes, oil will be available ahead in the future

D- it will reduce as few exports so less workers will be required

28-B:

Country Y is dumping their products to country X.

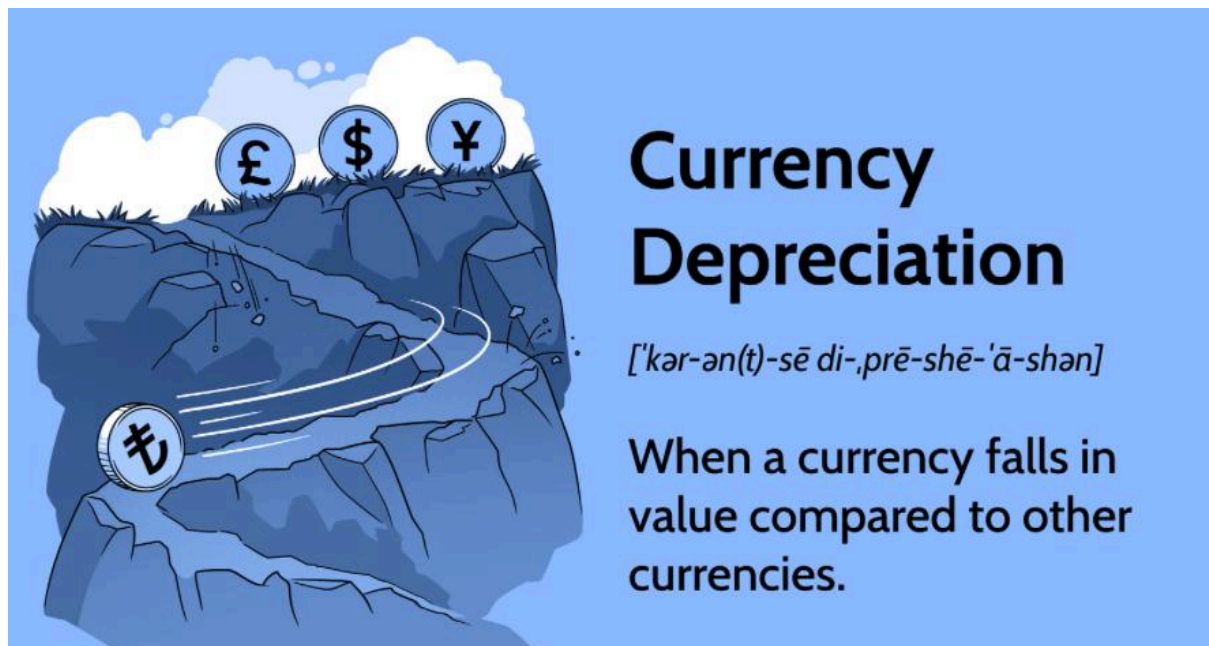
A- it is other way around

B- yes the concept of dumping

C- rate of inflation will increase in country X if demand for country Y goods is relatively inelastic

D- not applicable

29-A:



A- yes, more payments be made that increase the supply of a currency and therefore the value of a currency depreciated

B- no, rise of interest rates will increase the FDI, therefore the demand for currency will increase and value will increase or appreciated

C- save will increase the rate of interest as more save and less consume. Imports will also fall then payments will reduce and thus the value of a currency will increase

D- more tourist will increase the demand of currency and thus appreciated

30-B:

Current Account has 4 main components:

- 1-Visible Trade (Goods): Exports and imports of products like oil, cars
- 2-Invisible Trade (Services):Revenue from services like IT, tourism
- 3- Primary income : Profits, interest, dividends from abroad.
- 4-Net transfers or secondary income:Remittances, gifts, donations

Remittances will be recorded in secondary income and makes option B correct.